

*akalos, Erin Glenn Busby, Lisa R. Eskow, and Michael F. Sturley.**

JUSTICE THOMAS delivered the opinion of the Court.

The Outer Continental Shelf Lands Act (OCSLA), 67 Stat. 462, 43 U. S. C. § 1331 *et seq.*, extends federal law to the subsoil and seabed of the Outer Continental Shelf and all attachments thereon (OCS). Under the OCSLA, all law on the OCS is federal law, administered by federal officials. The OCSLA denies States any interest in or jurisdiction over the OCS, and it deems the adjacent State's laws to be federal law "[t]o the extent that they are applicable and not inconsistent with" other federal law. § 1333(a)(2)(A). The question before us is how to determine which state laws meet this requirement and therefore should be adopted as federal law. Applying familiar tools of statutory interpretation, we hold that where federal law addresses the relevant issue, state law is not adopted as surrogate federal law on the OCS.

I

Respondent Brian Newton worked for petitioner Parker Drilling Management Services on drilling platforms off the coast of California. Newton's 14-day shifts involved 12 hours per day on duty and 12 hours per day on standby, during which he could not leave the platform. He was paid well above the California and federal minimum wages for his time on duty, but he was not paid for his standby time.

*Briefs of *amici curiae* urging reversal were filed for the Chamber of Commerce of the United States of America by *Hyland Hunt* and *Ruthanne M. Deutsch*; for Freeport-McMoRan Oil & Gas LLC et al. by *John P. Elwood*, *Kevin A. Gaynor*, *Jeremy C. Marwell*, *Baldwin J. Lee*, *Kevin W. Brooks*, *George W. Abele*, *Stacy R. Linden*, *Benjamin G. Shatz*, and *Peter C. Tolsdorf*; and for the Washington Legal Foundation by *Richard A. Samp*.

John J. Korzen and *William A. Herreras* filed a brief for the California Applicants' Attorneys Association as *amicus curiae* urging affirmance.

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Newton filed a class action in California state court alleging violations of several California wage-and-hour laws and related state-law claims. Among other things, Newton claimed that California’s minimum-wage and overtime laws required Parker to compensate him for the time he spent on standby. Parker removed the action to Federal District Court. The parties agreed that Parker’s platforms were subject to the OCSLA. Their disagreement centered on whether the relevant California laws were “applicable and not inconsistent” with existing federal law and thus deemed to be the applicable federal law under the OCSLA. § 1333(a)(2)(A).

The District Court applied Fifth Circuit precedent providing that under the OCSLA, “state law only applies to the extent it is necessary ‘to fill a significant void or gap’ in federal law.” App. to Pet. for Cert. 51a (quoting *Continental Oil Co. v. London Steam-Ship Owners’ Mut. Ins. Assn.*, 417 F. 2d 1030, 1036 (1969)). It determined that the Fair Labor Standards Act of 1938 (FLSA), 52 Stat. 1060, 29 U. S. C. § 201 *et seq.*, constitutes a comprehensive federal wage-and-hour scheme and thus left no significant gap for state law to fill. Because all of Newton’s claims relied on state law, the court granted Parker judgment on the pleadings.

The Ninth Circuit vacated and remanded. It first held that state law is “‘applicable’” under the OCSLA whenever it “pertain[s] to the subject matter at hand.” 881 F. 3d 1078, 1090, amended and reh’g en banc denied, 888 F. 3d 1085 (2018). The court found that California wage-and-hour laws satisfied this standard and turned to “the determinative question in Newton’s case”: “whether California wage and hour laws are ‘inconsistent with’ existing federal law.” 881 F. 3d, at 1093. According to the Ninth Circuit, state laws are “inconsistent” with federal law under the OCSLA only “if they are mutually incompatible, incongruous, [or] inharmonious.” *Ibid.* (internal quotation marks omitted). Applying that standard, the court determined that no incon-

sistency exists between the FLSA and California wage-and-hour law because the FLSA saving clause “explicitly permits more protective state wage and hour laws.” *Id.*, at 1097 (citing 29 U.S.C. § 218(a)). Given the disagreement between the Fifth and Ninth Circuits, we granted certiorari. 586 U.S. 1112 (2019).

II

Before the OCSLA, coastal States and the Federal Government disputed who had the right to lease submerged lands on the continental shelf. Some coastal States even asserted jurisdiction all the way to the outer edge of the shelf. See *Shell Oil Co. v. Iowa Dept. of Revenue*, 488 U.S. 19, 26 (1988). The disputes eventually reached this Court, which held in a series of decisions that the Federal Government has exclusive jurisdiction over the entire continental shelf. See *United States v. California*, 332 U.S. 19, 38–39 (1947); *United States v. Louisiana*, 339 U.S. 699, 705 (1950); *United States v. Texas*, 339 U.S. 707, 717–718 (1950).

After these decisions, Congress divided jurisdiction over the shelf. In 1953, Congress enacted the Submerged Lands Act, 67 Stat. 29, 43 U.S.C. § 1301 *et seq.*, which ceded to the coastal States offshore lands within a specified distance of their coasts. A few months later, Congress passed the OCSLA, which affirmed that the Federal Government exercised exclusive control over the OCS, defined as “all submerged lands” beyond the lands reserved to the States up to the edge of the United States’ jurisdiction and control. § 1331(a). Specifically, the OCSLA declares that “the subsoil and seabed of the [OCS] appertain to the United States and are subject to its jurisdiction, control, and power of disposition.” § 1332(1). The OCSLA then sets forth “detailed provisions for the exercise of exclusive jurisdiction in the area and for the leasing and development of the resources of the seabed.” *United States v. Maine*, 420 U.S. 515, 527 (1975); see §§ 1334–1354.

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Of primary relevance here, the OCSLA defines the body of law that governs the OCS. First, in §1333(a)(1), the OCSLA extends “[t]he Constitution and laws and civil and political jurisdiction of the United States” to the OCS. Section 1333(a)(1) provides that federal law applies “to the same extent as if the [OCS] were an area of exclusive Federal jurisdiction located within a State.” Then, §1333(a)(2)(A) provides:

“To the extent that they are applicable and not inconsistent with this subchapter or with other Federal laws and regulations of the Secretary now in effect or hereafter adopted, the civil and criminal laws of each adjacent State, now in effect or hereafter adopted, amended, or repealed are declared to be the law of the United States for that portion of the subsoil and seabed of the outer Continental Shelf, and artificial islands and fixed structures erected thereon, which would be within the area of the State if its boundaries were extended seaward to the outer margin of the outer Continental Shelf”

Section 1333(a)(2)(A) also states that “[a]ll of such applicable laws shall be administered and enforced by the appropriate officers and courts of the United States.” Finally, §1333(a)(3) emphasizes that “[t]he provisions of this section for adoption of State law as the law of the United States shall never be interpreted as a basis for claiming any interest in or jurisdiction on behalf of any State for any purpose over” the OCS.

III

A

The question in this case is how to interpret the OCSLA’s command that state laws be adopted as federal law on the OCS “[t]o the extent that they are applicable and not inconsistent” with other federal law. §1333(a)(2)(A). Echoing the Ninth Circuit, Newton argues that state law is “applica-

ble” on the OCS whenever it pertains to the subject matter at issue. Newton further argues that state law is only “inconsistent” with federal law if it is incompatible with the federal scheme. In essence, Newton’s argument is that state law is “inconsistent” only if it would be pre-empted under our ordinary pre-emption principles.

Parker, on the other hand, argues that state law is not “applicable” on the OCS in the absence of a gap in federal law that needs to be filled. Moreover, Parker argues that state law can be “inconsistent” with federal law even if it is possible for a party to satisfy both sets of laws. Specifically, Parker contends that, although the FLSA normally accommodates more protective state wage-and-hour laws, such laws are inconsistent with the FLSA when adopting state law as surrogate federal law because federal law would then contain two different standards.

B

Although this is a close question of statutory interpretation, on the whole we find Parker’s approach more persuasive because “‘the words of a statute must be read in their context and with a view to their place in the overall statutory scheme.’” *Roberts v. Sea-Land Services, Inc.*, 566 U. S. 93, 101 (2012). That rule is particularly relevant here, as the terms “applicable” and “not inconsistent” are susceptible of interpretations that would deprive one term or the other of meaning. If Newton is right that “applicable” merely means relevant to the subject matter, then the word adds nothing to the statute, for an irrelevant law would never be “applicable” in that sense. Cf. *Ransom v. FIA Card Services, N. A.*, 562 U. S. 61, 70 (2011) (declining to interpret the word “applicable” in such a way that Congress “could have omitted the term . . . altogether”). And if Parker is right that “applicable” means “necessary to fill a gap in federal law,” it is hard to imagine circumstances in which “not inconsistent” would add anything to the statute, for a state law would rarely be

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inconsistent with a federal law that leaves a gap that needs to be filled. Moreover, when the OCSLA was enacted, the term “inconsistent” could mean either “incompatible,” as Newton contends, or merely “inharmonious,” as Parker argues. Webster’s New International Dictionary 1259 (2d ed. 1953); see also Funk & Wagnalls New Standard Dictionary 1245 (1957) (“logically discrepant” or “disagreeing” and “discordant”); The New Century Dictionary 811 (1953) (“self-contradictory” or “at variance”); 5 Oxford English Dictionary 173 (1933) (“incongruous” or “not agreeing in substance, spirit, or form”). In short, the two terms standing alone do not resolve the question before us. Particularly given their indeterminacy in isolation, the terms should be read together and interpreted in light of the entire statute. See *Star Athletica, L. L. C. v. Varsity Brands, Inc.*, 580 U. S. 405, 414 (2017) (“[I]nterpretation of a phrase of uncertain reach is not confined to a single sentence when the text of the whole statute gives instruction as to its meaning”).

Our pre-OCSLA decisions made clear that the Federal Government controlled the OCS in every respect, and the OCSLA reaffirmed the central role of federal law on the OCS. See *supra*, at 606–607. As discussed, the OCSLA gives the Federal Government complete “jurisdiction, control, and power of disposition” over the OCS, while giving the States no “interest in or jurisdiction” over it. §§ 1332(1), 1333(a)(3). The statute applies federal law to the OCS “to the same extent as if the [OCS] were an area of exclusive Federal jurisdiction located within a State.” § 1333(a)(1). Accordingly, the only law on the OCS is federal law, and state laws are adopted as federal law only “[t]o the extent that they are applicable and not inconsistent with” federal law. § 1333(a)(2)(A).

Taken together, these provisions convince us that state laws can be “applicable and not inconsistent” with federal law under § 1333(a)(2)(A) only if federal law does not address the relevant issue. As we have said before, the OCSLA

makes apparent “that federal law is ‘exclusive’ in its regulation of [the OCS], and that state law is adopted only as surrogate federal law.” *Rodrigue v. Aetna Casualty & Surety Co.*, 395 U. S. 352, 357 (1969). The OCSLA extends all federal law to the OCS, and instead of also extending state law writ large, it borrows only certain state laws. These laws, in turn, are declared to be federal law and are administered by federal officials. Given the primacy of federal law on the OCS and the limited role of state law, it would make little sense to treat the OCS as a mere extension of the adjacent State, where state law applies unless it conflicts with federal law. See *PLIVA, Inc. v. Mensing*, 564 U. S. 604, 617–618 (2011). That type of pre-emption analysis is applicable only where the overlapping, dual jurisdiction of the Federal and State Governments makes it necessary to decide which law takes precedence. But the OCS is not, and never was, part of a State, so state law has never applied of its own force. Because federal law is the only law on the OCS, and there has never been overlapping state and federal jurisdiction there, the statute’s reference to “not inconsistent” state laws does not present the ordinary question in pre-emption cases—*i. e.*, whether a conflict exists between federal and state law. Instead, the question is whether federal law has already addressed the relevant issue; if so, state law addressing the same issue would necessarily be inconsistent with existing federal law and cannot be adopted as surrogate federal law. Put another way, to the extent federal law applies to a particular issue, state law is inapplicable.

C

Apart from §1333(a)(2)’s place in the overall statutory scheme, several other considerations support our interpretation, which accords with the standard long applied by the Fifth Circuit, see *Continental Oil*, 417 F. 2d, at 1036–1037. First, if Newton were correct that the choice-of-law question on the OCS is the same as it would be in an adjacent State,

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much of the OCSLA would be unnecessary. Second, our interpretation is consistent with the federal-enclave model—a model that the OCSLA expressly invokes—and the historical development of the statute. And third, the Court’s precedents have treated the OCSLA in accord with our interpretation.

1

Under Newton’s interpretation, state law would apply unless pre-empted by federal law, meaning that the OCS would be treated essentially the same as the adjacent State. See Tr. of Oral Arg. 49. But that interpretation would render much of the OCSLA unnecessary. For example, the statute would not have needed to adopt state law as federal law or say that federal law applies on the OCS as if it “were an area of exclusive Federal jurisdiction located within a State.” §§ 1333(a)(1)–(2). It could have simply defined which State’s law applied on the OCS and given federal officials and courts the authority to enforce the law. And the statute would not have needed to limit state laws on the OCS to those “applicable and not inconsistent” with federal law (as Newton understands those words), for irrelevant laws never apply and federal law is always “supreme,” U.S. Const., Art. VI, cl. 2. Newton’s interpretation deprives much of the statute of any import, violating the “‘cardinal principle’ of interpretation that courts ‘must give effect, if possible, to every clause and word of a statute.’” *Loughrin v. United States*, 573 U.S. 351, 358 (2014).

2

Further support for our interpretation comes from the statute’s treatment of the OCS as “an area of exclusive Federal jurisdiction located within a State”—*i. e.*, as “an upland federal enclave.” § 1333(a)(1); *Rodrigue, supra*, at 366. It is a commonplace of statutory interpretation that “Congress legislates against the backdrop of existing law.” *McQuiggin v. Perkins*, 569 U.S. 383, 398, n. 3 (2013). Generally,

when an area in a State becomes a federal enclave, “only the [state] law in effect at the time of the transfer of jurisdiction continues in force” as surrogate federal law. *James Stewart & Co. v. Sadrakula*, 309 U. S. 94, 100 (1940). Existing state law typically does not continue in force, however, to the extent it conflicts with “federal policy.” *Paul v. United States*, 371 U. S. 245, 269 (1963); see *Chicago, R. I. & P. R. Co. v. McGlinn*, 114 U. S. 542, 547 (1885). And going forward, state law presumptively does not apply to the enclave. See *Sadrakula*, *supra*, at 100; see also *Paul*, *supra*, at 268; *Pacific Coast Dairy, Inc. v. Department of Agriculture of Cal.*, 318 U. S. 285, 294 (1943). This approach ensures “that no area however small will be left without a developed legal system for private rights,” while simultaneously retaining the primacy of federal law and requiring future statutory changes to be made by Congress. *Sadrakula*, *supra*, at 100; *United States v. Tax Comm’n of Miss.*, 412 U. S. 363, 370, n. 12 (1973).¹

The original version of the OCSLA both treated the OCS as a federal enclave and adopted only the “applicable and not inconsistent” laws of the adjacent State that were in effect as of the effective date of the Act. 43 U. S. C. § 1333(a)(2) (1970 ed.); see § 1333(a)(1) (1970 ed.) (deeming the OCS “an area of exclusive Federal jurisdiction located within a State”). This textual connection between the OCSLA and the federal-enclave model suggests that, like the generally applicable enclave rule, the OCSLA sought to make all OCS law federal yet also “provide a sufficiently detailed legal framework to govern life” on the OCS. *Shell Oil*, 488 U. S., at 27. Once that framework was established, federal law (including previously adopted state law) provided a sufficient

¹These general rules “may be qualified in accordance with agreements reached by the respective governments.” *Sadrakula*, 309 U. S., at 99; see also *Paul*, 371 U. S., at 268 (“[A] State may not legislate with respect to a federal enclave unless it reserved the right to do so when it gave its consent to the purchase by the United States”).

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legal structure to accomplish that purpose, eliminating the need to adopt new state laws. The federal-state balance in a typical federal enclave is quite different than in a State, and that difference is all the more striking on the OCS, which was never under state control. The text and context of the OCSLA therefore suggest that state law is not adopted to govern the OCS where federal law is on point.

Although Congress later amended the OCSLA to adopt state law on an ongoing basis, this amendment only confirms the connection between the OCSLA and the federal-enclave model. Beginning in 1825, when “federal statutory law punished only a few crimes committed on federal enclaves,” Congress enacted several Assimilative Crimes Acts (ACAs) that “borrow[ed] state law to fill gaps in the federal criminal law” on enclaves. *Lewis v. United States*, 523 U.S. 155, 160 (1998); see 18 U.S.C. § 13(a) (criminalizing “any act or omission which, although not made punishable by any enactment of Congress, would be punishable if committed or omitted within the jurisdiction of the” relevant State or territory). Mirroring the general enclave rule discussed above, the first ACA was limited to state laws in existence when the Act was passed. *United States v. Sharpnack*, 355 U.S. 286, 291 (1958). Because of this limitation, the initial ACA “gradually lost much of its effectiveness in maintaining current conformity with state criminal laws,” and Congress eventually provided for the adoption of the state laws in effect at the time of the crime. *Id.*, at 291–292. After this Court upheld this ongoing adoption of state criminal law against a nondelegation challenge, see *id.*, at 294, Congress amended the OCSLA to borrow state laws “‘in effect or hereafter adopted, amended, or repealed.’” § 19(f), 88 Stat. 2146. At the same time, Congress left unchanged the features of the OCSLA that we have emphasized above—*i. e.*, that the only law on the OCS is federal, and that state law is adopted only when it is “applicable and not inconsistent” with existing federal law. Thus, we do not understand the statutory amend-

ment to alter our conclusion. If anything, this history reinforces that the OCS should be treated as an exclusive federal enclave, not an extension of a State, and that the OCSLA, like the ACAs, does not adopt state law “where there is no gap to fill.” *Lewis, supra*, at 163.

3

Finally, our interpretation accords with the Court’s precedents construing the OCSLA. We first interpreted the OCSLA’s choice-of-law provision in *Rodrigue v. Aetna Casualty & Surety Co.*, where we considered whether suits brought by the families of men killed on OCS drilling rigs could proceed under only the federal Death on the High Seas Act or also under state law. 395 U. S., at 352–353. We emphasized that under the OCSLA, the body of law applicable to the OCS “was to be federal law of the United States, applying state law only as federal law and then only when not inconsistent with applicable federal law.” *Id.*, at 355–356. We explained that “federal law, because of its limited function in a federal system, might be inadequate to cope with the full range of potential legal problems,” and that the OCSLA “supplemented gaps in the federal law with state law through the ‘adoption of State law as the law of the United States.’” *Id.*, at 357 (quoting § 1333(a)(3)). We reiterated that the statutory language makes it “evident” “that federal law is ‘exclusive’” on the OCS and that “state law could be used to fill federal voids.” *Id.*, at 357–358. After concluding that the Death on the High Seas Act did not apply to accidents on the OCS and thus left a gap related to wrongful deaths, we held that state law provided the rule of decision. We explained that “the inapplicability of the [federal Act] removes any obstacle to the application of state law by incorporation as federal law through” the OCSLA. *Id.*, at 366.

Two years later, in *Chevron Oil Co. v. Huson*, 404 U. S. 97 (1971), the Court again viewed the OCSLA as adopting state

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law to fill in federal-law gaps. In *Huson*, the question was whether federal admiralty law or a state statute governed a tort action arising from an injury that occurred on the OCS. *Id.*, at 98–99. Describing *Rodrigue*’s analysis, we explained that where “there exists a substantial ‘gap’ in federal law,” “state law remedies are not ‘inconsistent’ with applicable federal law.” 404 U. S., at 101. We highlighted that “state law was needed” as surrogate federal law because federal law alone did not provide “‘a complete body of law,’” which is why “Congress specified that a comprehensive body of state law should be adopted by the federal courts in the absence of existing federal law.” *Id.*, at 103–104. In other words, the OCSLA “made clear provision for filling in the ‘gaps’ in federal law.” *Id.*, at 104. And because Congress had decided not to apply federal admiralty law on the OCS, leaving a gap on the relevant issue, we held that it was appropriate to “absor[b]” the state law as federal law. *Id.*, at 104, 109.

In *Gulf Offshore Co. v. Mobil Oil Corp.*, 453 U. S. 473 (1981), we once again emphasized that “[a]ll law applicable to the [OCS] is federal law” and that the “OCSLA borrows the ‘applicable and not inconsistent’ laws of the adjacent States” “to fill the substantial ‘gaps’ in the coverage of federal law.” *Id.*, at 480. We noted that under the OCSLA, the Federal Government “retain[ed] exclusive . . . control of the administration of the [OCS],” and that state law is incorporated “to fill gaps in federal law.” *Id.*, at 480, n. 7.

These precedents confirm our understanding of the OCSLA. Although none decided the precise question before us, much of our prior discussion of the OCSLA would make little sense if the statute essentially treated the OCS as an extension of the adjacent State. In *Rodrigue*, for example, there was no question that the state law at issue pertained to the subject matter or that the relevant federal law expressly preserved state laws regulating the same subject. See 395 U. S., at 355; 46 U. S. C. § 767 (1964 ed.). Under Newton’s interpretation, that should have ended the case. Yet the

Court instead analyzed at length whether the federal law extended to the OCS. See 395 U. S., at 359–366. It would be odd for our decisions to focus so closely on the gap-filling role of state law under the OCSLA if, as Newton argues, the existence of a federal-law gap is irrelevant. Our consistent understanding of the OCSLA remains: All law on the OCS is federal, and state law serves a supporting role, to be adopted only where there is a gap in federal law’s coverage.

In sum, the standard we adopt today is supported by the statute’s text, structure, and history, as well as our precedents. Under that standard, if a federal law addresses the issue at hand, then state law is not adopted as federal law on the OCS.²

IV

Applying this standard, some of Newton’s present claims are readily resolvable. For instance, some of his claims are premised on the adoption of California law requiring payment for all time that Newton spent on standby. See *Mendiola v. CPS Security Solutions, Inc.*, 60 Cal. 4th 833, 842, 340 P. 3d 355, 361 (2015); Cal. Lab. Code Ann. § 510(a) (West 2011). But federal law already addresses this issue. See 29 CFR § 785.23 (2018) (“An employee who resides on his employer’s premises on a permanent basis or for extended periods of time is not considered as working all the time he is on the premises”); see also 29 U. S. C. § 207(a). Therefore, this California law does not provide the rule of decision on the OCS, and to the extent Newton’s OCS-based claims rely on that law, they necessarily fail.

Likewise, to the extent Newton’s OCS-based claims rely on the adoption of the California minimum wage (currently

²Of course, it is conceivable that state law might be “inconsistent” with federal law for purposes of § 1333(a)(2) even absent an on-point federal law. For example, federal law might contain a deliberate gap, making state law inconsistent with the federal scheme. Or, state law might be inconsistent with a federal law addressing a different issue. We do not foreclose these or other possible inconsistencies.

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\$12), Cal. Lab. Code Ann. § 1182.12(b) (West Supp. 2019), the FLSA already provides for a minimum wage, 29 U. S. C. § 206(a)(1), so the California minimum wage does not apply. Newton points out that the FLSA sets a minimum wage of “*not less than . . . \$7.25 an hour*,” *ibid.* (emphasis added), and does not “excuse noncompliance with any Federal or State law . . . establishing a [higher] minimum wage,” § 218(a). But whatever the import of these provisions in an ordinary pre-emption case, they do not help Newton here, for the question under the OCSLA is whether federal law addresses the minimum wage on the OCS. It does. Therefore, the California minimum wage is not adopted as federal law and does not apply on the OCS.

Newton’s other claims were not analyzed by the Court of Appeals, and the parties have provided little briefing on those claims. Moreover, the Court of Appeals held that Newton should be given leave to amend his complaint. Because we cannot finally resolve whether Parker was entitled to judgment on the pleadings, we vacate the judgment of the Court of Appeals, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

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RETURN MAIL, INC. *v.* UNITED STATES POSTAL
SERVICE ET AL.CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR
THE FEDERAL CIRCUIT

No. 17–1594. Argued February 19, 2019—Decided June 10, 2019

The Leahy-Smith America Invents Act (AIA) of 2011 created the Patent Trial and Appeal Board, 35 U.S.C. § 6(c), and established three types of administrative review proceedings before the Board that enable a “person” other than the patent owner to challenge the validity of a patent post-issuance: (1) “inter partes review,” § 311; (2) “post-grant review,” § 321; and (3) “covered-business-method review” (CBM review), note following § 321. After an adjudicatory proceeding, the Board either confirms the patent claims or cancels some or all of them, §§ 318(b), 328(b). Any “dissatisfied” party may then seek judicial review in the Federal Circuit, §§ 319, 329. In addition to AIA review proceedings, a patent can be reexamined either in federal court during a defense to an infringement suit, § 282(b), or in an ex parte reexamination by the Patent Office, §§ 301(a), 302(a).

Return Mail, Inc., owns a patent that claims a method for processing undeliverable mail. The Postal Service subsequently introduced an enhanced address-change service to process undeliverable mail, which Return Mail asserted infringed its patent. The Postal Service petitioned for ex parte reexamination of the patent, but the Patent Office confirmed the patent’s validity. Return Mail then sued the Postal Service in the Court of Federal Claims, seeking compensation for the unauthorized use of its invention. While that suit was pending, the Postal Service petitioned for CBM review. The Patent Board concluded that the subject matter of Return Mail’s claims was ineligible to be patented and thus canceled the claims underlying its patent. The Federal Circuit affirmed, concluding, as relevant here, that the Government is a “person” eligible to petition for CBM review.

Held: The Government is not a “person” capable of instituting the three AIA review proceedings. Pp. 626–637.

(a) In the absence of an express definition of the term “person” in the patent statutes, the Court applies a “longstanding interpretive presumption that ‘person’ does not include the sovereign,” and thus excludes a federal agency like the Postal Service. *Vermont Agency of Natural Resources v. United States ex rel. Stevens*, 529 U.S. 765, 780–781. This presumption reflects “common usage,” *United States v. Mine*

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Workers, 330 U. S. 258, 275, as well as an express directive from Congress in the Dictionary Act, 1 U. S. C. § 1. The Dictionary Act does not include the Federal Government among the persons listed in the definition of “person” that courts use “[i]n determining the meaning of any Act of Congress, unless the context indicates otherwise,” § 1. Contrary to the Postal Service’s contention otherwise, this Court has, in several instances, applied the presumption against treating the Government as a statutory person even when, as here, doing so would exclude the Government or one of its agencies from accessing a benefit or favorable procedural device. See, e.g., *United States v. Cooper Corp.*, 312 U. S. 600, 604–605, 614. Thus, the Court here proceeds from the presumption that the Government is not a “person” authorized to initiate these proceedings absent an affirmative showing to the contrary. Pp. 626–628.

(b) The Postal Service must point to some indication in the AIA’s text or context affirmatively showing that Congress intended to include the Government as a “person,” but its arguments are unpersuasive. Pp. 628–636.

(1) The Postal Service first argues that the AIA’s reference to a “person” in the context of post-issuance review proceedings must include the Government because other references to persons in the patent statutes appear to do so. The consistent-usage principle—*i. e.*, when Congress uses a word to mean one thing in one part of the statute, it will mean the same thing elsewhere in the statute—however, “‘readily yields to context,’” especially when a statutory term is used throughout a statute and takes on “distinct characters” in distinct statutory provisions. *Utility Air Regulatory Group v. EPA*, 573 U. S. 302, 320. Here, where there are at least 18 references to “person[s]” in the Patent Act and the AIA, no clear trend is shown: Sometimes “person” plainly includes or excludes the Government, but sometimes, as here, it might be read either way. The mere existence of some Government-inclusive references cannot make the “affirmative showing,” *Stevens*, 529 U. S., at 781, required to overcome the presumption that the Government is not a “person” eligible to petition for AIA review proceedings. Pp. 628–632.

(2) The Postal Service next points to the Federal Government’s longstanding history with the patent system, arguing that because federal officers have been able to apply for patents in the name of the United States since 1883, Congress must have intended to allow the Government access to AIA review proceedings. But the Government’s ability to obtain a patent does not speak to whether Congress meant for the Government to participate as a third-party challenger in AIA proceedings established only eight years ago. Moreover, even assuming that the Government may petition for *ex parte* reexamination of an issued patent, as a 1981 Patent Office Manual of Patent Examining

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Procedure (MPEP) indicates, an ex parte reexamination process is fundamentally different from an AIA review proceeding. The former process is internal, and the party challenging the patent may not participate. By contrast, adversarial, adjudicatory AIA review proceedings are between the “person” who petitioned for review and the patent owner; they include briefing, a hearing, discovery, and the presentation of evidence; and the losing party has appeal rights. Congress may have had good reason to authorize the Government to initiate a hands-off ex parte reexamination but not to become a party to the AIA’s full-blown adversarial proceeding. Nothing suggests that Congress had the 1981 MPEP statement about ex parte reexamination in mind when it created the AIA review proceedings. And because there is no “settled” meaning of the term “person” with respect to the newly established AIA review proceedings, see *Bragdon v. Abbott*, 524 U. S. 624, 645, the MPEP does not justify putting aside the presumptive meaning of “person.” Pp. 632–634.

(3) Finally, the Postal Service argues that it must be a “person” who may petition for AIA review proceedings because, like other potential infringers, it is subject to civil liability and can assert a defense of patent invalidity. It would thus be anomalous, the Postal Service posits, to deny it a benefit afforded to other infringers—namely, the ability to challenge a patent *de novo* before the Patent Office, rather than only with clear and convincing evidence in defense to an infringement suit. Federal agencies, however, face lower and more calculable risks than nongovernmental actors, so it is reasonable for Congress to have treated them differently. Excluding federal agencies from AIA review proceedings also avoids the awkward situation of having a civilian patent owner defend the patentability of her invention in an adversarial, adjudicatory proceeding initiated by one federal agency and overseen by a different federal agency. Pp. 634–636.

868 F. 3d 1350, reversed and remanded.

SOTOMAYOR, J., delivered the opinion of the Court, in which ROBERTS, C. J., and THOMAS, ALITO, GORSUCH, and KAVANAUGH, JJ., joined. BREYER, J., filed a dissenting opinion, in which GINSBURG and KAGAN, JJ., joined, *post*, p. 637.

Beth S. Brinkmann argued the cause for petitioner. With her on the briefs were *Richard L. Rainey*, *Kevin F. King*, *Nicholas L. Evoy*, and *Daniel G. Randolph*.

Deputy Solicitor General Stewart argued the cause for respondents. With him on the brief were *Solicitor General*

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*Francisco, Assistant Attorney General Hunt, Jonathan Y. Ellis, Mark R. Freeman, and Megan Barbero.**

JUSTICE SOTOMAYOR delivered the opinion of the Court.

In the Leahy-Smith America Invents Act of 2011, 35 U. S. C. § 100 *et seq.*, Congress created the Patent Trial and Appeal Board and established three new types of administrative proceedings before the Board that allow a “person” other than the patent owner to challenge the validity of a patent post-issuance. The question presented in this case is whether a federal agency is a “person” able to seek such review under the statute. We conclude that it is not.

I

A

The Constitution empowers Congress “[t]o promote the Progress of Science and useful Arts, by securing for limited Times to Authors and Inventors the exclusive Right to their respective . . . Discoveries.” Art. I, § 8, cl. 8. Pursuant to that authority, Congress established the United States Patent and Trademark Office (Patent Office) and tasked it

*Briefs of *amici curiae* urging reversal were filed for the CATO Institute et al. by *Gregory A. Castanias, David B. Cochran, Benjamin M. Flowers*, and *Ilya Shapiro*; for the Chamber of Commerce of the United States of America by *Pratik A. Shah, James E. Tysse, Martine E. Cicconi*, and *Daryl Joseffer*; for Pharmaceutical Research and Manufacturers of America by *Jonathan G. Cedarbaum, James C. Stansel*, and *David E. Korn*; and for Seven Law Professors by *Matthew J. Dowd*.

Briefs of *amici curiae* urging affirmance were filed for the R Street Institute by *Charles Duan*; and for Tejas N. Narechania by *Sarah Boyce* and *Mr. Narechania, pro se*.

Briefs of *amici curiae* were filed for the American Intellectual Property Law Association by *Blair A. Silver* and *Sheldon H. Klein*; for the Intellectual Property Owners Association by *Lauren A. Degnan* and *Mark W. Lauroesch*; and for the New York Intellectual Property Law Association by *Robert M. Isackson, Charles R. Macedo, David P. Goldberg, Jung S. Hahn*, and *Robert J. Rando*.

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with “the granting and issuing of patents.” 35 U.S.C. §§ 1, 2(a)(1).

To obtain a patent, an inventor submits an application describing the proposed patent claims to the Patent Office. See §§ 111(a)(1), 112. A patent examiner then reviews the application and prior art (the information available to the public at the time of the application) to determine whether the claims satisfy the statutory requirements for patentability, including that the claimed invention is useful, novel, non-obvious, and contains eligible subject matter. See §§ 101, 102, 103. If the Patent Office accepts the claim and issues a patent, the patent owner generally obtains exclusive rights to the patented invention throughout the United States for 20 years. §§ 154(a)(1), (2).

After a patent issues, there are several avenues by which its validity can be revisited. The first is through a defense in an infringement action. Generally, one who intrudes upon a patent without authorization “infringes the patent” and becomes subject to civil suit in the federal district courts, where the patent owner may demand a jury trial and seek monetary damages and injunctive relief. §§ 271(a), 281–284. If, however, the Federal Government is the alleged patent infringer, the patent owner must sue the Government in the United States Court of Federal Claims and may recover only “reasonable and entire compensation” for the unauthorized use. 28 U.S.C. § 1498(a).

Once sued, an accused infringer can attempt to prove by clear and convincing evidence “that the patent never should have issued in the first place.” *Microsoft Corp. v. i4i L. P.*, 564 U.S. 91, 96–97 (2011); see 35 U.S.C. § 282(b). If a defendant succeeds in showing that the claimed invention falls short of one or more patentability requirements, the court may deem the patent invalid and absolve the defendant of liability.

The Patent Office may also reconsider the validity of issued patents. Since 1980, the Patent Act has empowered

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the Patent Office “to reexamine—and perhaps cancel—a patent claim that it had previously allowed.” *Cuozzo Speed Technologies, LLC v. Lee*, 579 U.S. 261, 267 (2016). This procedure is known as *ex parte* reexamination. “Any person at any time” may cite to the Patent Office certain prior art that may “bea[r] on the patentability of any claim of a particular patent”; and the person may additionally request that the Patent Office reexamine the claim on that basis. 35 U.S.C. §§301(a), 302. If the Patent Office concludes that the prior art raises “a substantial new question of patentability,” the agency may reexamine the patent and, if warranted, cancel the patent or some of its claims. §§303(a), 304–307. The Director of the Patent Office may also, on her “own initiative,” initiate such a proceeding. §303(a).

In 1999 and 2002, Congress added an “*inter partes* reexamination” procedure, which similarly invited “[a]ny person at any time” to seek reexamination of a patent on the basis of prior art and allowed the challenger to participate in the administrative proceedings and any subsequent appeal. See §311(a) (2000 ed.); §§314(a), (b) (2006 ed.); *Cuozzo Speed Technologies*, 579 U.S., at 267.

B

In 2011, Congress overhauled the patent system by enacting the America Invents Act (AIA), which created the Patent Trial and Appeal Board and phased out *inter partes* reexamination. See 35 U.S.C. §6; H. R. Rep. No. 112–98, pt. 1, pp. 46–47. In its stead, the AIA tasked the Board with overseeing three new types of post-issuance review proceedings.

First, the “*inter partes* review” provision permits “a person” other than the patent owner to petition for the review and cancellation of a patent on the grounds that the invention lacks novelty or nonobviousness in light of “patents or printed publications” existing at the time of the patent application. §311.